IN THE MATTER OF A CLAIM BY ASHFIELD DYNAMICS LIMITED

AGAINST MARWICK DRIVES LIMITED

Claim No. BL-2025-000412

O P I N I O N

on the merits and quantum of the claim

Introduction

I am asked by Whitfield Carter LLP, on behalf of Ashfield Dynamics Limited ("Ashfield"), to advise on the merits of its claim against Marwick Drives Limited ("Marwick") arising from the supply of 60 MD-450 gearmotor units, and on the level at which the claim might reasonably be settled.

I have read the instructions, the engagement papers, the parties' statements of case, the witness statement of Mr Paul Voss, and the report of Renshaw Drive Engineering Consultants. I have also seen the schedule of loss.

Liability

Ashfield's claim rests on the express 24-month warranty in Marwick's conditions of sale and on the implied terms of satisfactory quality and fitness for purpose under sections 14(2) and 14(3) of the Sale of Goods Act 1979. On the documents, the existence of the warranty is admitted and there is, in my view, a strong case that the units were not of satisfactory quality: 41 of 60 units failed within nine months, well inside the warranty period, with a consistent failure mode.

Marwick's pleaded defences are (i) that the failures were caused by misalignment, overloading and inadequate maintenance by Ashfield, and (ii) that liability is in any event capped by clause 11 of its conditions to the price of the defective units. The factual defences are met squarely by Mr Voss's evidence and by Ashfield's alignment and maintenance records, and by the Renshaw report, which attributes the failures to an undersized output bearing and incorrect case-hardening of the bevel pinion. I regard Ashfield's position on causation as the stronger, though the court will need to prefer Ashfield's expert to Marwick's.

The limitation of liability clause

The more substantial obstacle is clause 11. If effective, it would cap Marwick's liability at the price of the defective units (41 × £3,150 = £129,150) and exclude consequential loss, including the £95,000 liquidated damages Ashfield paid to Halcyon Retail Group.

In my opinion the clause is vulnerable to challenge under the reasonableness requirement of section 3 and Schedule 2 of the Unfair Contract Terms Act 1977. The parties were of unequal bargaining power as to the standard terms, the exclusion of all consequential loss is wide, and Marwick knew the units were destined for a continuously-running line. I assess Ashfield's prospects of defeating, or substantially reading down, clause 11 at around 60–65%. That said, the risk that the clause is upheld in whole or part is real and materially affects the recoverable figure.

Quantum

The pleaded loss is £418,500. The direct replacement, labour and freight costs (£304,900) are well evidenced, subject to a betterment argument on the replacement units which might reduce recovery by perhaps £20,000–£30,000. The £95,000 liquidated damages are recoverable as damages within the

second limb of Hadley v Baxendale if, but only if, clause 11 does not exclude them. The expert and investigation costs of £18,600 are recoverable.

Taking the litigation risk on clause 11 and the betterment point together, I would value the claim, on a risk-adjusted basis, in the region of £290,000 to £320,000.

Settlement

Ashfield should be advised that this is a good claim on liability but one carrying genuine risk on the limitation clause and on the recoverability of the Halcyon liquidated damages. A negotiated settlement in the range of £290,000–£315,000, plus a contribution to costs, would in my view represent a sound outcome and should be actively pursued, ideally at a mediation. I would not advise accepting materially less than £275,000.

I am happy to advise further in conference.

HARRIET STANFORD

Eldon Chambers

4 September 2025